

how spending less than those on the standard path enables a better lifestyle at lower costs for those who *Choose FI*.

Insurance

Insurance is a large expense for most people, so it's important to understand what insurance is, how it works, and when we need it.

Having insurance means transferring financial risks to an insurance company because it's not affordable to take on the risk yourself. This makes sense. For most people who are otherwise financially independent, a cancer diagnosis could be financially destructive. So it makes sense for everyone to have health insurance to transfer risk from the individual to the insurance company.

A key to making good insurance decisions is understanding that the insurance company must make a profit. Paying premiums to an insurance company that won't be in business when you need them makes no sense. When you buy insurance, you're making a bet you're likely to lose, and the insurance company is likely to win by taking in more money than they pay out. This is not to suggest that insurance companies are evil, and their products are inherently bad. It's just the basic math governing insurance.